Investing in managed funds

Investors in managed funds do not have direct control over what happens to their money. Instead they rely on an investment manager to invest on their behalf.

How it works

When an investor puts money into a managed fund, their cash is pooled with money from other investors. An investment fund manager then invests the total amount in the fund in shares or other assets, such as bonds or property loans. As the funds earn interest, the interest money is paid out to the different investors relative to their original investment.

Investors can choose from either a single asset fund or a multi-sector fund, in which their money is invested across different assets. This has an advantage as poor performance by one asset will be balanced out by high returns from another *(see pp.188–189)*. Funds may be actively or passively managed. An actively managed fund tries to outperform the market, while a passive one aims to perform in line with the market at low cost.

The process

Investors who decide to invest in a managed fund need to make a series of decisions to ensure their investment is as profitable and safe as possible.

1 Types of managed fund

Active
The fund manager proactively buys and sells to outperform the market.

Passive
Assets perform according to a particular benchmark such as Standard & Poor's 500.

Single asset
All the money is invested in one type of asset such as bonds or shares.

Multi-sector
Investments are spread across different asset types.

Listed
Investments are in funds that are listed and tradeable on the stock market.

Unlisted
Funds can be bought and sold only through a share manager.

2 Choosing a fund

Risk Investors must decide how much of their investment they are prepared to risk losing.

Time frame The period of time over which the investment is made will affect the terms of the investment.

Product disclosure Before investing, investors research details of fees and penalties, insurance against loss, and performance guarantees.

Long-term performance Investors research the market to identify funds that consistently perform well.